

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1258

By: Hays

AS INTRODUCED

An Act relating to public retirement systems; enacting the Defined Contribution Retirement Plan for Teachers; imposing duty on the Teachers' Retirement System of Oklahoma to establish defined contribution system; specifying persons eligible for participation in system; allowing employee to make certain election; prescribing procedures related to date of service accrual; requiring defined contribution system to be qualified pursuant to provisions of the Internal Revenue Code of 1986, as amended; prescribing minimum employee contribution amount; prescribing maximum employee contribution amount; providing for salary deductions for employee contributions; providing for employer matching contributions; specifying amount of employer matching contributions; prescribing procedures related to employer matching contributions; providing for modifications to matching amounts; providing for payment of certain costs related to administration of defined contribution system administration; providing for vesting schedule; imposing duty on Board of Trustees of the Teachers' Retirement System of Oklahoma with respect to investment of funds in defined contribution system accounts; providing for payment of certain revenues to the Teachers' Retirement System of Oklahoma; providing for deposit of funds with existing defined benefit plan; providing for effect of enactment on certain rights; prohibiting certain collection activity with respect to funds; authorizing offsets; providing for enforcement of qualified domestic orders; defining term; prescribing procedures with respect to alternate payees; prescribing content; imposing restrictions; authorizing the Board to promulgate rules; amending Section 1, Chapter 289, O.S.L. 2023

(70 O.S. Supp. 2024, Section 18-114.15), which relates to the minimum salary schedule; modifying provisions of the minimum salary schedule; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 17-301 of Title 70, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Defined Contribution Retirement Plan for Teachers".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 17-302 of Title 70, unless there is created a duplication in numbering, reads as follows:

A. The Teachers' Retirement System of Oklahoma (System) shall establish a defined contribution system for certified personnel, as defined in Section 26-103 of this title, who first become employed in a full-time equivalent position or a position which is less than full-time but more than half-time position and which qualifies for employee benefits, including but not limited to, health insurance and leave time by any participating employer of the System, as defined by paragraph (5) of Section 17-101 of this title, on or after November 1, 2024.

1 B. The employee may make a one-time irrevocable written
2 election prior to the first day of the month following employment
3 that shall be in writing and shall cover all future service with a
4 participating employer, regardless of a break in service, to
5 participate in the Teachers' Retirement System of Oklahoma, as
6 established pursuant to Section 17-101, et seq., of this title.

7 C. Any employee who does not make a one-time irrevocable written
8 election to participate in the defined benefit plan, as described in
9 subsection B of this section, shall be subject to the provisions of
10 Section 18-114.15 of this title.

11 D. An employee described by subsection A of this section shall
12 become a participant in the defined contribution system and the
13 employee shall not accrue any service credit in the Teachers'
14 Retirement System of Oklahoma, as established pursuant to Section
15 17-101, et seq., of this title.

16 E. Employees who participate in the defined contribution system
17 shall be deemed to begin service in the defined contribution system
18 on the first day of the month following employment.

19 SECTION 3. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 17-303 of Title 70, unless there
21 is created a duplication in numbering, reads as follows:

22 The Board of Trustees of the Teachers' Retirement System of
23 Oklahoma (Board) shall take whatever action is reasonable and
24 necessary to have the defined contribution system authorized by this

1 act to be recognized as a tax-qualified plan as that term is defined
2 by Section 401 et seq. of Title 26 of the United States Code, or any
3 other applicable provisions of federal law. The Board is also
4 authorized to establish a plan or use an existing plan established
5 under Section 457(b) of Title 26 of the United States Code, if it is
6 necessary to carry out the intent of this act. The Board shall take
7 whatever action is reasonable and necessary to obtain confirmation
8 from the Internal Revenue Service that any such 457(b) plan is
9 consistent with the requirements of Section 457(b).

10 SECTION 4. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 17-304 of Title 70, unless there
12 is created a duplication in numbering, reads as follows:

13 A. Employee contributions to the defined contribution
14 retirement system shall consist of a minimum of four and five-tenths
15 percent (4.5%) of compensation.

16 B. Employee contributions to the defined contribution
17 retirement system that are eligible for an employer match shall not
18 exceed a percentage, based on the employee's compensation, which
19 would exceed the maximum amount allowed pursuant to Section 415 of
20 the Internal Revenue Code of 1986, as amended.

21 SECTION 5. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section 17-305 of Title 70, unless there
23 is created a duplication in numbering, reads as follows:

1 A. Except as otherwise provided by subsection B of this
2 section, employers of employees who become participants in the
3 defined contribution retirement system shall match the employee
4 contribution paid on a monthly or more frequent basis at the rate of
5 six percent (6.0%) based on the same compensation amount used to
6 compute the employee contribution amount.

7 B. If an employee selects a contribution rate of seven percent
8 (7.0%) or more, but not higher than allowed pursuant to the maximum
9 annual contribution limit prescribed by Section 415 of the Internal
10 Revenue Code of 1986, as amended, the employer matching amount shall
11 be seven percent (7.0%).

12 C. The initial four and five-tenths percent (4.5%) employee
13 contribution shall be the only mandatory contribution of an employee
14 participating in the defined contribution retirement system created
15 by this act. These funds shall be placed by the System in either a
16 401(a) plan or a 457(b) plan, to be determined by the Board to
17 maintain the plan consistent with the Internal Revenue Code. Any
18 employee contributions eligible to be matched under this section
19 over the four and five-tenths percent (4.5%) initial contribution
20 shall be considered voluntary deferrals of compensation and placed
21 in a 457(b) plan. All employer matching funds shall be placed in a
22 401(a) plan.

23 Any contribution rate that is more than the four and five-tenths
24 percent (4.5%) rate can be chosen by the participating employee upon

1 the employee's initial participation, and can be changed once per
2 month. The employee contribution rate chosen shall continue until
3 the employee elects to change the contribution rate or terminates
4 service or retires.

5 D. The employer match as set forth in subsection A of this
6 section may be increased at any time by the Legislature without
7 affecting the then-existing rights of participating employees and
8 beneficiaries in order to encourage participating employees to
9 accumulate deferred income reserves for themselves and their
10 dependents. The employer match may be decreased at any time by the
11 Legislature without affecting the then-existing rights of
12 participating employees and beneficiaries in order to provide
13 funding as may be needed to reduce the unfunded liabilities of the
14 defined benefit plan as set forth in Section 901 et seq. of this
15 title, but shall not be less than six percent (6.0%) for any year
16 during which the defined contribution plan is maintained.

17 SECTION 6. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 17-306 of Title 70, unless there
19 is created a duplication in numbering, reads as follows:

20 A. Except as otherwise provided by this section, employers
21 shall make payment of the required matching amount as provided by
22 Section 5 of this act within five (5) business days of the
23 participating employee's payroll pay date. The System shall ensure
24 the payment is credited to the defined contribution system account

1 or accounts maintained on behalf of the participating employee as
2 soon as possible.

3 B. All employee contributions to the defined contribution
4 system shall be effected by salary deductions from the salary of the
5 employee and shall be remitted by the participating employer to the
6 System for deposit into the defined contribution system account or
7 accounts maintained on behalf of the employee.

8 C. Participating employers whose salary deductions and employer
9 contributions are not remitted to the System through the Office of
10 Management and Enterprise Services shall either:

11 1. Send all such remittances by electronic funds transfer; or

12 2. Place all such remittances in a bank account from which

13 OPERS can debit the amount due,

14 both within five (5) business days of the payroll pay date of the
15 participating employee. Payroll data shall be remitted by the same
16 deadline.

17 D. The Office of Management and Enterprise Services shall
18 cooperate with the Board to ensure that any necessary programming
19 changes are made to the state's payroll system to carry out the
20 requirements of this act.

21 E. Each employer which has employees participating in the
22 defined contribution system shall pay to the System in the same
23 manner and at the same time required for contributions under this
24

1 section an amount to reimburse the cost of administration of the
2 defined contribution system, as determined by the Board.

3 1. The Board shall certify each year to the Office of
4 Management and Enterprise Services and to participating employers
5 whose salary deductions and employer contributions are not remitted
6 to the System through the Office of Management and Enterprise
7 Services, the determined amount for the administrative cost of the
8 defined contribution system which will be required to be paid for
9 each participant. The Board shall promulgate such rules as
10 necessary to implement the provisions of this subsection and provide
11 the methodology for the determination.

12 2. Each employer shall pay at least monthly to the System the
13 sum sufficient to satisfy the obligation under this section as
14 certified by the Board.

15 F. The funds held on behalf of each employee participating in
16 the defined contribution system shall consist of the amount in the
17 account or accounts plus credits representing employer and employee
18 contributions, profits, income and other increments attributable to
19 such contributions, and minus debits representing any losses, other
20 decrements, or expenses under the system and any distributions made
21 to the employee under the system.

22 SECTION 7. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 17-307 of Title 70, unless there
24 is created a duplication in numbering, reads as follows:

1 A. Participating employees shall at all times be vested at one
2 hundred percent (100%) of their accounts containing solely their
3 employee contributions, and the gains or losses on these
4 contributions. Participating employees will have investment
5 discretion over these accounts within the available options offered
6 by the Board.

7 B. Participating employees shall be vested with respect to the
8 employer matching amounts, and the gains or losses on these funds,
9 deposited into their defined contribution system account or accounts
10 according to the following schedule based on years of participating
11 service:

12 Year 1	20%
13 Year 2	40%
14 Year 3	60%
15 Year 4	80%
16 Year 5 and thereafter	100%

17 C. Participating employees will have investment discretion over
18 all employer contributions.

19 D. For purposes of determining a participating employee's right
20 to withdraw employer matching contributions and any investment gains
21 upon such employer contribution matching amounts, the vesting
22 percentages apply at the end of each full year of service as
23 described in subsection B of this section.

1 E. For participating employees who do not select any investment
2 options, the Board of Trustees of the Teachers' Retirement System of
3 Oklahoma will establish default investment options for the
4 contributions received from participating employees and default
5 investment options for matching employer contributions.

6 F. To the extent that participants leave employment and have
7 not vested in all of the employer contributions, the nonvested
8 employer contributions, including any gains or losses, shall be
9 immediately forfeited to the 401(a) plan and may be used to offset
10 costs of administering the plan or as permitted by federal law.
11 Upon reemployment with an employer and satisfying the eligibility
12 requirements to become a participant, the reemployed participant
13 shall receive credit for previous service and be vested at the same
14 percentage the participant was vested when service was previously
15 terminated. However, under no circumstances shall the participant
16 be entitled to any previously forfeited employer contributions.

17 SECTION 8. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 17-308 of Title 70, unless there
19 is created a duplication in numbering, reads as follows:

20 A. Each participating employer shall pick up under the
21 provisions of Section 414(h) (2) of the Internal Revenue Code of
22 1986, as amended, and pay the contribution which the participating
23 employee is required by law to make to the System for all
24 compensation earned after the date as of which an employee begins to

1 participate in the defined contribution system. Although the
2 contributions so picked up are designated as participating employee
3 contributions, such contributions shall be treated as contributions
4 being paid by the employer in lieu of contributions by the
5 participating employee in determining tax treatment under the
6 Internal Revenue Code of 1986, as amended, and such picked-up
7 contributions shall not be includable in the gross income of the
8 participating employee until such amounts are distributed or made
9 available to the participating employee or the beneficiary of the
10 participating employee. The participating employee, by the terms of
11 this System, shall not have any option to choose to receive the
12 contributions so picked up directly and the picked-up contributions
13 must be paid by the employer to the System.

14 B. Contributions by the participating employee into a 457(b)
15 plan may not be picked up by the employer but shall be a voluntary
16 deferral of the employee's compensation.

17 SECTION 9. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 17-309 of Title 70, unless there
19 is created a duplication in numbering, reads as follows:

20 The Board of Trustees shall contract with one or more business
21 entities in order to create a range of choices regarding investment
22 of funds deposited into defined contribution system accounts. The
23 investment options shall be substantially similar to the options
24 provided to members of the Teachers' Retirement System of Oklahoma

1 that maintain a Deferred Savings Incentive Plan account as offered
2 by the System pursuant to the provisions of the Deferred Savings
3 Incentive Plan. In selecting investment options for participants in
4 the plan, the Board shall give due consideration to offering
5 investment options provided by business entities that provide
6 guaranteed lifetime income in retirement such as annuities,
7 guaranteed investment contracts, or similar products. The Board may
8 amend any of its existing contracts with its current service
9 providers to perform substantially the same type of service the
10 provider is currently performing for the Board, in order to
11 facilitate the timely introduction of the new defined contribution
12 system created by this act. Thereafter, the contracting process for
13 the selection of service providers carrying out duties related to
14 the administration of the plan shall be the same as the selection
15 process for other providers selected by the Board under subsection E
16 of Section 17-106.1 of Title 70 of the Oklahoma Statutes.

17 SECTION 10. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 17-310 of Title 70, unless there
19 is created a duplication in numbering, reads as follows:

20 A. Notwithstanding any other provision of the statutes
21 governing the System to the contrary, each participating employer
22 shall remit to the System the difference between the amount of money
23 which would be remitted to the System using the employer
24 contribution rate required by Section 17-108.1 of Title 70 of the

1 Oklahoma Statutes and the amount of money required for the
2 participating employer to make the required matching contribution
3 amount on behalf of a participating employee who participates in the
4 defined contribution system authorized pursuant to the provisions of
5 Section 5 of this act.

6 B. The System shall deposit the monies remitted to it by
7 employers having participating employees in the defined contribution
8 system created by this act, as described by subsection A of this
9 section, into the existing defined benefit pension plan authorized
10 pursuant to Section 17-101 et seq. of Title 70 of the Oklahoma
11 Statutes in order to reduce the liabilities of the defined benefit
12 pension plan.

13 SECTION 11. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 17-311 of Title 70, unless there
15 is created a duplication in numbering, reads as follows:

16 A. Except as otherwise provided by this section or in
17 subsection D of Section 5 of this act, no alteration, amendment, or
18 repeal of this act shall affect the then-existing rights of
19 participating employees and beneficiaries, but shall be effective
20 only as to rights which would otherwise accrue hereunder as a result
21 of services rendered by an employee after such alteration,
22 amendment, or repeal. Any benefits, fund, property, or rights
23 created by or accruing to any person under the provisions of this
24 act shall not be subject to execution, garnishment or attachment, or

1 any other process or claim whatsoever, and shall be unassignable,
2 except as specifically provided by this section. Notwithstanding
3 the foregoing, the Board may offset any amounts held by a
4 participant in the plan or beneficiary to pay a judgment or
5 settlement against a participating employee or beneficiary for a
6 crime involving the System, for a fraud or breach of the
7 participating employee's fiduciary duty to the System, or for funds
8 or monies incorrectly paid to a participating employee or a
9 beneficiary, provided such offset is in accordance with the
10 requirements of Section 401(a)(13) or similar provisions of the
11 Internal Revenue Code. The offset applies to any assets held in the
12 plan which may otherwise be payable to a participating employee or
13 beneficiary from the plan administered by the Board.

14 B. 1. The provisions of subsection A of this section shall not
15 apply to a qualified domestic order as provided pursuant to this
16 subsection.

17 2. The term "qualified domestic order" means an order issued by
18 a district court of this state pursuant to the domestic relation
19 laws of the State of Oklahoma which relates to the provision of
20 marital property rights to a spouse or former spouse of a
21 participating employee or provision of support for a minor child or
22 children and which creates or recognizes the existence of the right
23 of an alternate payee, or assigns to an alternate payee the right,
24

1 to receive a portion of the funds payable with respect to a
2 participant in the plan.

3 3. For purposes of the payment of marital property, to qualify
4 as an alternate payee a spouse or former spouse must have been
5 married to the related participating employee for a period of not
6 less than thirty (30) continuous months immediately preceding the
7 commencement of the proceedings from which the qualified domestic
8 order issues.

9 4. A qualified domestic order is valid and binding on the Board
10 and the related participating employee only if it meets the
11 requirements of this subsection.

12 5. A qualified domestic order shall clearly specify:

- 13 a. the name and last-known mailing address (if any) of
14 the participating employee and the name and mailing
15 address of the alternate payee covered by the order,
 - 16 b. the amount or percentage of the participating
17 employee's funds or assets to be paid by the System to
18 the alternate payee,
 - 19 c. the number of payments or period to which such order
20 applies,
 - 21 d. the characterization of the benefit as to marital
22 property rights or child support, and
 - 23 e. each plan to which such order applies.
- 24

1 6. A qualified domestic order meets the requirements of this
2 subsection only if such order:

3 a. does not require the System to provide any type or
4 form of benefit, or any option not otherwise provided
5 under state law as relates to the System,

6 b. does not require the System to provide increased
7 benefits, and

8 c. does not require the payment of funds or assets to an
9 alternate payee which are required to be paid to
10 another alternate payee pursuant to another order
11 previously determined to be a qualified domestic order
12 or an order recognized by the System as a valid order
13 prior to November 1, 2014.

14 7. This subsection shall not be subject to the provisions of
15 the Employee Retirement Income Security Act of 1974 (ERISA), 29
16 U.S.C.A., Section 1001 et seq., as amended from time to time, or
17 rules and regulations promulgated thereunder, and court cases
18 interpreting the act.

19 8. The Board shall promulgate such rules as are necessary to
20 implement the provisions of this subsection.

21 9. An alternate payee who has acquired beneficiary rights
22 pursuant to a valid qualified domestic order must fully comply with
23 all provisions of the rules promulgated by the Board pursuant to
24 this subsection in order to continue receiving his or her benefit.

SECTION 12. AMENDATORY Section 1, Chapter 289, O.S.L.
2023 (70 O.S. Supp. 2024, Section 18-114.15), is amended to read as
follows:

Section 18-114.15. A. ~~Beginning~~ Except as otherwise provided
in subsection B of this section, beginning with the 2023-2024 school
year, certified personnel, as defined in Section 26-103 of Title 70
of the Oklahoma Statutes, in the public schools of Oklahoma shall
receive in salary and/or fringe benefits not less than the amounts
specified in the following schedule:

MINIMUM SALARY SCHEDULE

National

Years of Experience	Bachelor's Degree	Board Certification	Master's Degree	Doctor's Degree
0	\$39,601	\$40,759	\$40,991	\$42,381
1	\$40,035	\$41,193	\$41,425	\$42,815
2	\$40,469	\$41,628	\$41,859	\$43,249
3	\$40,904	\$42,062	\$42,294	\$43,684
4	\$41,338	\$42,496	\$42,728	\$44,118
5	\$42,810	\$43,968	\$44,200	\$45,590
6	\$43,273	\$44,432	\$44,663	\$46,054
7	\$43,737	\$44,895	\$45,127	\$46,517
8	\$44,200	\$45,358	\$45,590	\$46,980
9	\$44,663	\$45,822	\$46,054	\$47,444
10	\$46,684	\$47,844	\$48,568	\$50,945

1	11	\$47,177	\$48,336	\$49,061	\$51,438
2	12	\$47,670	\$48,829	\$49,554	\$51,931
3	13	\$48,162	\$49,322	\$50,047	\$52,424
4	14	\$48,655	\$49,815	\$50,539	\$52,916
5	15	\$50,167	\$51,327	\$52,052	\$54,430
6	16	\$50,660	\$51,820	\$52,545	\$54,923
7	17	\$51,153	\$52,313	\$53,038	\$55,416
8	18	\$51,646	\$52,806	\$53,531	\$55,909
9	19	\$52,139	\$53,299	\$54,024	\$56,402
10	20	\$52,652	\$53,813	\$54,538	\$56,917
11	21	\$53,145	\$54,306	\$55,031	\$57,410
12	22	\$53,639	\$54,799	\$55,524	\$57,903
13	23	\$54,132	\$55,292	\$56,018	\$58,397
14	24	\$54,625	\$55,785	\$56,511	\$58,890
15	25	\$56,049	\$57,232	\$57,971	\$60,395

16	Master's Degree +				
17	Years of	National Board			
18	Experience	Certification			
19	0	\$42,149			
20	1	\$42,583			
21	2	\$43,018			
22	3	\$43,452			
23	4	\$43,886			
24	5	\$45,358			

1	6	\$45,822
2	7	\$46,285
3	8	\$46,749
4	9	\$47,212
5	10	\$49,728
6	11	\$50,221
7	12	\$50,713
8	13	\$51,206
9	14	\$51,699
10	15	\$53,212
11	16	\$53,705
12	17	\$54,198
13	18	\$54,691
14	19	\$55,184
15	20	\$55,698
16	21	\$56,192
17	22	\$56,685
18	23	\$57,178
19	24	\$57,671
20	25	\$59,153

21 B. Certified personnel, as defined in Section 26-103 of Title
22 70 of the Oklahoma Statutes, that does not make a one-time
23 irrevocable written election to participate in the defined benefit
24 plan, as described in subsection B of Section 1 of this act, shall

receive in salary and/or fringe benefits not less than the amounts specified in the following schedule:

MINIMUM SALARY SCHEDULE

Standard Classroom Teacher Salary

<u>Years of</u>	<u>Bachelor's</u>	<u>Bachelor's</u>	<u>Master's</u>	<u>Master's</u>
<u>Experience</u>	<u>Degree</u>	<u>Degree</u>	<u>Degree</u>	<u>Degree</u>
	<u>10 months</u>	<u>12 months</u>	<u>10 months</u>	<u>12 months</u>
0	\$45,601.00	\$54,721.20	\$49,991.00	\$59,989.20
1	\$46,100.76	\$55,320.91	\$50,538.87	\$60,646.64
2	\$46,600.51	\$55,920.61	\$51,086.73	\$61,304.08
3	\$47,101.42	\$56,521.70	\$51,635.86	\$61,963.04
4	\$47,601.18	\$57,121.41	\$52,183.73	\$62,620.48
5	\$49,296.20	\$59,155.44	\$55,053.84	\$66,064.60
6	\$49,829.35	\$59,795.22	\$55,649.26	\$66,779.11
7	\$50,363.65	\$60,436.38	\$56,245.96	\$67,495.16
8	\$50,896.80	\$61,076.16	\$56,841.38	\$68,209.66
9	\$51,429.95	\$61,715.94	\$57,436.80	\$68,924.16
10	\$53,757.15	\$64,508.59	\$60,595.83	\$72,714.99
11	\$54,324.85	\$65,189.82	\$61,235.74	\$73,482.89
12	\$54,892.54	\$65,871.05	\$61,875.65	\$74,250.79
13	\$55,459.09	\$66,550.91	\$62,514.27	\$75,017.12
14	\$56,026.78	\$67,232.14	\$63,154.18	\$75,785.02
15	\$57,767.87	\$69,321.44	\$66,627.66	\$79,953.20
16	\$58,335.56	\$70,002.68	\$67,282.43	\$80,738.91

17	\$58,903.26	\$70,683.91	\$67,937.19	\$81,524.63
18	\$59,470.95	\$71,365.14	\$68,591.95	\$82,310.34
19	\$60,038.65	\$72,046.38	\$69,246.71	\$83,096.05
20	\$60,629.37	\$72,755.25	\$69,928.04	\$83,913.64
21	\$61,197.07	\$73,436.48	\$70,582.80	\$84,699.36
22	\$61,765.92	\$74,119.10	\$71,238.89	\$85,486.67
23	\$62,333.61	\$74,800.33	\$71,893.65	\$86,272.38
24	\$62,901.31	\$75,481.57	\$72,548.41	\$87,058.09
25	\$64,541.06	\$77,449.27	\$74,439.65	\$89,327.58
26	\$66,223.56	\$79,468.27	\$76,380.19	\$91,656.23
27	\$67,949.92	\$81,539.90	\$78,371.32	\$94,045.58
28	\$69,721.28	\$83,665.53	\$80,414.36	\$96,497.23

Agriculture Education Teacher Salary

<u>Years of</u>	<u>Agriculture</u>	<u>Agriculture</u>
<u>Experience</u>	<u>Education</u>	<u>Education</u>
	<u>Bachelor's</u>	<u>Master's</u>
	<u>Degree</u>	<u>Degree</u>
0	\$60,121.20	\$64,121.20
1	\$60,780.09	\$64,823.92
2	\$61,438.97	\$65,526.65
3	\$62,099.38	\$66,230.99
4	\$62,758.27	\$66,933.72
5	\$64,993.02	\$70,615.07
6	\$65,695.93	\$71,378.79

7	\$66,400.37	\$72,144.16
8	\$67,103.28	\$72,907.88
9	\$67,806.20	\$73,671.59
10	\$70,874.42	\$77,005.23
11	\$71,622.88	\$77,818.44
12	\$72,371.34	\$78,631.64
13	\$73,118.29	\$79,443.19
14	\$73,866.75	\$80,256.40
15	\$76,162.22	\$82,750.44
16	\$76,910.68	\$83,563.64
17	\$77,659.14	\$84,376.85
18	\$78,407.60	\$85,190.05
19	\$79,156.06	\$86,003.25
20	\$79,934.89	\$88,153.33
21	\$80,683.35	\$88,978.75
22	\$81,433.32	\$89,805.83
23	\$82,181.78	\$90,631.24
24	\$82,930.24	\$91,456.66
25	\$85,092.12	\$93,840.81
26	\$87,310.36	\$96,287.11
27	\$89,586.42	\$98,797.19
28	\$91,921.82	\$101,372.70

~~B.~~ C. 1. When determining the Minimum Salary Schedule, "fringe benefits" shall mean all or part of retirement benefits, excluding

1 the contributions made pursuant to subsection A of Section 17-108.1
2 of Title 70 of the Oklahoma Statutes and the flexible benefit
3 allowance pursuant to Section 26-105 of Title 70 of the Oklahoma
4 Statutes from the flexible benefit allowance funds disbursed by the
5 State Board of Education and the State Board of Career and
6 Technology Education pursuant to Section 26-104 of Title 70 of the
7 Oklahoma Statutes.

8 2. If a school district intends to provide retirement benefits
9 to a teacher such that the teacher's salary would be less than the
10 amounts set forth in the minimum salary schedule specified in
11 subsection A of this section, the district shall be required to
12 provide written notification to the teacher prior to his or her
13 employment or, if already employed by the district, no later than
14 thirty (30) days prior to the date the district elects to provide
15 retirement benefits such that the teacher's salary would be less
16 than the minimum salary schedule.

17 ~~C.~~ D. Any of the degrees referred to in this section shall be
18 from a college recognized by the State Board of Education. The
19 Board shall accept teaching experience from out-of-state school
20 districts that are accredited by the State Board of Education or
21 appropriate state accrediting agency for the districts. The Board
22 shall accept teaching experience from out-of-country schools that
23 are accredited or otherwise endorsed by the appropriate national or
24 regional accrediting or endorsement authority. Out-of-country

1 certification documentation in a language other than English shall
2 be analyzed by an educational credential evaluation service in
3 accordance with industry standards and guidelines and approved by
4 the State Department of Education. The person seeking to have
5 credit granted for out-of-country teaching experience shall be
6 responsible for all costs of the analysis by a credential evaluation
7 service. The Board shall accept teaching experience from primary
8 and secondary schools that are operated by the United States
9 Department of Defense or are affiliated with the United States
10 Department of State.

11 ~~D.~~ E. For the purpose of state salary increments and
12 retirement, no teacher shall be granted credit for more than five
13 (5) years of active duty in the military service or out-of-state or
14 out-of-country teaching experience as a certified teacher or its
15 equivalent. Nothing in this section shall prohibit boards of
16 education from crediting more years of experience on district salary
17 schedules than those allowed for state purposes.

18 ~~E.~~ F. The State Board of Education shall recognize, for
19 purposes of certification and salary increments, all the years of
20 experience of a:

- 21 1. Certified teacher who teaches in the educational program of
22 the Department of Corrections, beginning with fiscal year 1981;
- 23 2. Vocational rehabilitation counselor under the Department of
24 Human Services if the counselor was employed as a certified teacher

1 by the State Department of Education when the Division of Vocational
2 Rehabilitation was transferred from the State Board of Career and
3 Technology Education or the State Board of Education to the Oklahoma
4 Public Welfare Commission on July 1, 1968;

5 3. Vocational rehabilitation counselor which were completed
6 while employed by the Department of Human Services if such counselor
7 was certified as a teacher or was eligible for certification as a
8 teacher in Oklahoma;

9 4. Certified teacher which were completed while employed by the
10 Child Study Center located at University Hospital, if the teacher
11 was certified as a teacher in Oklahoma; and

12 5. Certified school psychologist or psychometrist which were
13 completed while employed as a doctoral intern, psychological
14 assistant, or psychologist with any agency of the State of Oklahoma
15 if the experience primarily involved work with persons of school- or
16 preschool-age and if the person was, at the time the experience was
17 acquired, certified as, or eligible for certification as, a school
18 psychologist or psychometrist.

19 ~~F.~~ G. The provisions of this section shall not apply to
20 teachers who have entered into postretirement employment with a
21 public school in Oklahoma and are still receiving a monthly
22 retirement benefit.

23 ~~G.~~ H. If a person employed as certified personnel, as defined
24 in Section 26-103 of Title 70 of the Oklahoma Statutes, by a school

1 district during the 2022-2023 school year was receiving a salary
2 above the step level indicated by the State Minimum Salary Schedule
3 for the 2022-2023 school year, the person shall receive a salary
4 increase amount equal to the amount indicated in subsection A for
5 the step level indicated for the person, provided they remain
6 employed by the same district, unless the hours or the duties of the
7 certified personnel are reduced proportionately.

8 ~~H.~~ I. If a school district does not receive Foundation or
9 Salary Incentive Aid pursuant to Section 18-200.1 of Title 70 of the
10 Oklahoma Statutes, funds shall be allocated by the State Board of
11 Education to implement the salary increases indicated in subsection
12 A of this section.

13 ~~I.~~ J. Persons employed as classroom instructional employees of
14 technology center school districts supervised by the State Board of
15 Career and Technology Education shall receive a salary increase
16 amount equal to the amount indicated in subsection A of this section
17 for the step level indicated for the person, provided they remain
18 employed by the same technology center school district, unless the
19 hours or the duties of the classroom instructional employees are
20 reduced proportionately.

21 ~~J.~~ K. Persons employed as correctional teachers or vocational
22 instructors by the Department of Corrections pursuant to Section
23 510.6a of Title 57 of the Oklahoma Statutes or persons employed as
24 teachers by the Office of Juvenile Affairs shall receive a salary

1 increase amount equal to the amount indicated in subsection A of
2 this section for the step level indicated for the person, provided
3 they remain employed by the same Department of Corrections or Office
4 of Juvenile Affairs facility, unless the hours or the duties of the
5 correctional teachers, vocational instructors, or teachers are
6 reduced proportionately.

7 ~~K.~~ L. Persons employed as teachers by the State Department of
8 Rehabilitation Services shall receive a salary increase amount equal
9 to the amount indicated in subsection A of this section for the step
10 level indicated for the person, provided they remain employed by the
11 State Department of Rehabilitation Services, unless the hours or the
12 duties of the teachers are reduced proportionately.

13 SECTION 13. This act shall become effective August 31, 2025.

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15 60-1-12184 CMA 01/13/25
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THOMAS E. CUMMINS CONSULTING ACTUARY, INC.

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January 14, 2025

Representative Hays
Room 302S

Re: RBH No. 12184

RBH No. 12184 creates an optional defined contribution retirement system for teachers hired after the effective date of this act.

RBH No. 12184 is a non fiscal bill as defined by OPLAAA because it does not increase the Accrued Actuarial Liability.

I am a member of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion herein.

Thomas E. Cummins

Thomas E. Cummins, MAAA